IN DIRE STRAITS

The Hormuz Strait wrangle has not just upended bilateral trade with one of our top partners, the UAE, but also hit exports to the West

By ANILESH S. MAHAJAN



The Strait of Hormuz, with its outsized influence on global trade, is also critical for container shipping routes that sustain India's export economy. Dubai, which lies on the southern coast of the Strait, is now India's primary re-export gateway to global markets, anchored by world-class logistics infrastructure and free trade zones. Bilateral trade between India and the United Arab Emirates (UAE) is now worth over $100 billion (Rs 93,801 crore) annually, making the federation one of our top three trading partners. India's exports to the UAE alone, spanning over 7,000 product categories, were estimated to be $39 billion (Rs 36,596 crore) in FY26.

For India, the crisis is immediate. Some 15-20 per cent of our West-bound cargo depends on transshipment hubs in the Gulf, such as the UAE ports Jebel Ali and Khor Fakkan. These hubs are operational, but since mid-March have been constrained by the war.

"Large mother vessels are avoiding the region due to safety concerns, and that is altering cost structures," says Pritam Banerjee, who heads the Centre for WTO Studies at the Indian Institute of Foreign Trade. Exporters shipping to northern Europe hubs such as Rotterdam and Antwerp are now facing surcharges of $1,800-2,200 (Rs 1.6 lakh-2.1 lakh) per container, while spot container freight rates on the India-Europe routes have risen by 12 to 25 per cent, reflecting both war risk premiums and reduced effective shipping capacity.

Meanwhile, the logistics chain is already feeling the heat. Shipping lines have either reduced frequency or rerouted vessels. Some are even bypassing the Red Sea and Suez corridor altogether and opting for the longer Cape of Good Hope route, significantly increasing both cost and transit time. The result is a tightening of global shipping capacity and a steady hike in freight rates. The trickledown effect has also meant container shortages and sky-high insurance costs. Since March 17, war risk premiums have risen sharply for Gulf-bound vessels, adding $50,000-200,000 per voyage depending on ship size and route.

The cumulative effect is visible. Delivered cost, rather than factory price, is increasingly determining market share. In sectors like textiles, engineering goods and chemicals, where logistics account for 5-15 per cent of export value, even a slight jump can erode margins. For MSMEs, the pressure is acute. Extended export cycles, delays in receivables (legally enforceable pay-